MILES AHEAD

Even when the pandemic put nearly all economic activity on hold, one ministry continued onward, building roads and highways and generating jobs at a time when India was economically vulnerable

By Shwweta Punj

THE UNION MINISTER of road transport and highways was a busy man during the pandemic. Nitin Gadkari worked with different state governments to ensure that road and highway construction continued without any obstructions. He released payments to vendors and companies on time. Analysts give him full marks for keeping the pace of road and highway construction going even as the world and India reeled under the virus's attack. Ministry data say the pace of highway construction has gone up from 12 km a day in 2014-15 to 37 km in 2021-22. The total length of national highways grew from 91,287 km (in April 2014) to 141,000 km in December 2021.

In 2020, an ambitious National Infrastructure Pipeline was announced; it now includes 9,335 projects and an investment of Rs 108 lakh crore between 2019-20 and 2024-25. Gadkari is spearheading the roads section of the push, which constitutes about 23 per cent of the pipeline. The ministry also has a huge asset monetisation target of Rs 30,000 crore for 2022-23—of which Rs 17,000 crore has apparently been realised so far.

One reason for the big improvement, says Vinayak Chatterjee, chairman of the Confederation of Indian Industry (CII) national task force on infrastructure projects, is that more stringent norms are now in place to select contractors. "Earlier, there were highway contractors who did not have the competence," he says.

Gadkari has also broken the contractors' coterie and brought a lot of regional players into the fray. Analysts say the latter have the competence to see projects through. The minister has built a reputation of a doer, with a unique ability to work with state ministers across party lines. The Hybrid Annuity Model, a variant of the public-private partnership model, where the government bears 40 per cent of the project cost, has also played a positive role in encouraging investments in the sector, according to an analysis by Moody's Investor Services. The model was quite successful initially as NHAI awarded almost 55 per cent of its projects through it in 2016-17. But there has been a decline since then, with experts making a case for tweaking the model. ■



Nitin Gadkari
Minister of Road Transport and Highways